

The Home Depot, Inc.

HD | October 4, 2026

HOLD

Fair value (12-mo horizon reference)	\$268.00
Current price (October 2, 2026 close)	\$282.85
Implied upside / downside	-5%
Verdict	HOLD

Investment Thesis

Home Depot is the best home-improvement retailer in the world, and the stock is priced as though that statement alone settles the investment question. It does not. A 16-year streak of returns on invested capital above 15%, gross margins that have held at roughly 33% through every housing cycle of the last decade and a half, and free-cash-flow conversion above 80% make this one of the highest-quality businesses in American retail. Quality of that order deserves a premium multiple. It does not deserve the assumption that the cycle cooperates.

The cycle is not cooperating. Existing-home turnover sits near historic lows, roughly 3% of the housing stock, with 30-year mortgage rates still near 6.6%. Management itself describes a frozen housing market. When homes do not change hands, the move-driven big-ticket projects - kitchens, additions, full renovations - that carry the highest tickets and the best margins simply do not get scheduled. Homeowners are healthy and spending, but they are spending on smaller maintenance and repair jobs while deferring the large discretionary work. The second quarter of fiscal 2026 delivered a four-year high in comparable sales and a genuine beat, and management reaffirmed rather than raised full-year guidance - comps flat to up 2%, total sales growth 2.5% to 4.5%, adjusted EPS growth of flat to 4% off a \$14.69 baseline. The reaffirmation is the honest tell: the company does not trust the housing market to deliver a second-half acceleration, and neither should investors.

Our judgment is that Home Depot's long-term economics are intact and underappreciated in the bearish narrative, but the next twelve months belong to the cycle, not to the franchise. The pro-customer pivot - roughly half of revenue, the \$18.25 billion SRS Distribution acquisition, GMS, and a stated addressable pro market of around \$700 billion - is the right strategic answer to a world in which the DIY homeowner defers. It will, however, take years to build the full capability to win that share, as management concedes, and the acquired businesses carry lower margins than the core retail box. We value the company on a probability-weighted scenario DCF that gives the 15-year compounder-quality treatment its history has earned, and the answer is fair value of \$268 against a \$282.85 price. That is a HOLD: a superb business at a full price, with the upside reserved for the eventual housing-turnover recovery, which remains a 2027-or-later story.

The asymmetry matters. The bear case - housing stays frozen for two more years, big-ticket comps stay negative, and the pro build-out dilutes margins longer than expected - would take the stock well below our target. The bull case - mortgage rates break below 6% and turnover normalizes - produces mid-teens upside. But at this price investors are paying for an earnings recovery that management's own guidance says is not yet visible. We would add on genuine weakness; at \$282.85 we wait.

Business Overview

The Home Depot is the world's largest home-improvement retailer, operating roughly 2,360 stores across the United States, Canada, and Mexico. The business serves two customer types: the do-it-yourself homeowner and the professional contractor - the pro. Pros now account for roughly half of revenue, a deliberate and growing mix, and they are served through dedicated pro desks, direct fulfillment, and a trade distribution network built up through acquisitions.

Fiscal 2025 (ended February 1, 2026) produced net sales of \$164.7 billion, up 3.2%, with comparable sales of 0.3% and diluted earnings per share of \$14.23 on a GAAP basis (\$14.69 adjusted). Gross margin ran at approximately 33.1%, and operating margin guidance for fiscal 2026 sits at 12.4% to 12.6% - compressed relative to history by the mix shift toward the acquired distribution businesses and by continued investment in the pro ecosystem. Return on invested capital, which has exceeded 15% every year since 2010, was 25.4% in the first quarter of fiscal 2026. The company paid about \$2.3 billion in dividends in that quarter alone and continues an aggressive, decades-long capital-return program funded by genuinely prodigious cash generation.

The strategic centerpiece is the pro pivot. The March 2024 acquisition of SRS Distribution for \$18.25 billion gave Home Depot a serious position in specialty trade distribution - roofing, pool, and landscaping supply - and the subsequent acquisition of GMS extended that reach. The company is adding 40 to 50 new SRS branches a year, opened 12 new stores in the first quarter of fiscal 2026, and points to a total pro addressable market of roughly \$700 billion. The logic is sound: pro demand is steadier than DIY through cycles, pros buy on a recurring job-driven cadence, and Home Depot's scale in procurement and logistics gives it structural advantages over fragmented regional distributors. But it is a multi-year build, the acquired revenue carries thinner margins than the core box, and the balance sheet now carries the leverage those acquisitions required.

Forward Outlook

Our base expectation is that fiscal 2026 and 2027 are transition years, not recovery years. The housing lock-in - tens of millions of homeowners holding mortgages at 3-4% who cannot afford to move at 6.6% rates - is a structural feature of this cycle, not a sentiment blip. Until turnover normalizes, big-ticket comps stay soft and the company's growth comes from market-share gains in a weak market, new stores and branches, and the acquired SRS/GMS revenue layering in. That is a recipe for low-single-digit sales growth and flat-to-modestly-up earnings, which is exactly what guidance describes. We take management at its word when it refuses to raise the guide after a strong quarter.

Where we differ from the more bearish camp is on the durability of the franchise through this trough. Home Depot is taking share - its on-shelf availability, supply chain, and pro capabilities widen the gap with weaker competitors precisely when the market is weakest. The pro pivot is not a defensive crouch; it is an offensive build of the industry's best distribution platform for contractors, and the \$700 billion addressable market means even modest share gains compound into very large revenue. Gross margin stability near 33% through this softness is the empirical proof that pricing power is intact. When turnover eventually normalizes - our working assumption is a gradual thaw beginning in 2027, not a snap-back - the operating leverage on the other side is

real, and the pro business will be a larger, stickier, more recurring portion of the mix.

The honest risk to this outlook is duration. A frozen housing market can stay frozen longer than equity investors' patience, and every quarter of flat comps is a quarter in which the market questions whether the multiple is earned. Tariff-related cost pressures - visible in the IEEPA tariff refunds embedded in fiscal 2026 guidance, which are offsetting unplanned fuel and input costs - are a reminder that the cost structure is not immune to policy shocks. Our judgment: the business will be larger and better in five years; the stock, at 19-20x earnings on trough-adjacent EPS, offers little compensation for the wait.

Valuation

Home Depot qualifies for our compounder-quality treatment: 16 consecutive years of ROIC above 15% (2010-2025), stable-to-expanding gross margins, and free-cash-flow conversion above 80%, all verified from reported history. We therefore model a 15-year explicit horizon at an 8-8.5% base discount rate, with terminal growth capped at 3.0% applied to a demonstrated sustained margin - not a cyclical peak. The bear case adds 250bp, the bull case subtracts 150bp with an 8% floor, and the three scenarios are weighted 25% / 50% / 25%.

The bear case assumes the housing freeze extends through 2028: existing-home turnover stays near 3%, big-ticket comps remain negative, SRS organic growth disappoints, and the pro build-out dilutes consolidated margins for longer than guided. Earnings power in this scenario sits well below the current price, as a bear case must. The base case assumes a gradual turnover thaw from 2027, low-single-digit comp growth through the explicit period, pro revenue compounding as the trade-distribution platform scales, and operating margins recovering toward the mid-teens as mix and leverage normalize - with no heroics on the multiple. The bull case assumes mortgage rates break durably below 6% by 2027, turnover normalizes faster, big-ticket deferred demand releases in a wave, and the pro platform captures share faster than our base assumption.

The probability-weighted fair value is \$268.00, our target, against the October 2, 2026 close of \$282.85 - implying about 5% downside. The valuation says what the business says: this is a wonderful company whose economics are temporarily masked by the cycle, and the market has already paid for the recovery before it has arrived. We would become buyers on a genuine washout toward the bear-case zone; at current levels the risk-reward is balanced to mildly negative.

Key Risks

- Housing-cycle duration: existing-home turnover could remain depressed well beyond 2027 if mortgage rates stay elevated, pushing the big-ticket recovery - and the earnings leverage that comes with it - further out.
- Pro-build execution: the SRS and GMS integrations, plus 40-50 new branches a year, must deliver mid-single-digit organic growth at acceptable margins; the acquired distribution businesses are structurally lower-margin than the core box.
- Tariff and input-cost pressure: fiscal 2026 guidance leans on IEEPA tariff refunds to offset unplanned fuel and product input costs - a one-time offset against a recurring cost risk if trade policy tightens further.
- Leverage: the balance sheet carries the debt taken on for SRS and GMS; a prolonged soft patch would slow deleveraging and constrain buyback capacity.
- DIY demand softness: consumer confidence is fragile and discretionary spending on large projects is the first thing deferred in a downturn; a consumer recession would hit comps harder than the base case assumes.

- Competitive response: Lowe's and the independent pro dealers are not standing still, and share gains claimed in a weak market need Lowe's own results to confirm them.

What Would Change Our Mind

- A decisive turn in housing turnover - existing-home sales rising on a sustained basis with mortgage rates breaking below 6% - would pull forward the big-ticket recovery and justify a higher multiple on the earnings power we model.
- SRS delivering sustained high-single-digit organic growth with margins converging toward the core box would validate the pro-platform thesis ahead of our timeline.
- A sharp selloff on cyclical fears (toward \$230 or below) with fundamentals intact would flip the risk-reward to positive and move us to BUY.
- Conversely, ROIC falling below 15% for consecutive years, structural gross-margin compression, or FCF conversion dropping below 80% over a multi-year window would revoke the compounder-quality assumptions and force a lower fair value.
- Evidence that the pro pivot is destroying rather than creating value - persistent margin dilution with no share gains - would undermine the central strategic thesis.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. Home Depot meets our compounder-quality criteria, verified from history rather than projected: a 16-year streak (2010-2025) of return on invested capital above 15%, stable-to-expanding gross margins across the cycle, and free-cash-flow conversion above 80%. This qualification is not permanent: if ROIC were to fall below 15% for consecutive fiscal years, if gross margins compressed on a structural rather than cyclical basis, or if FCF conversion dropped below 80% over a multi-year window, the qualification would be revoked and the business re-valued at the standard 10% discount rate over a 10-year horizon. Under the qualification we model bear, base, and bull cases over an explicit 15-year forecast horizon, weighted 25% / 50% / 25%, with a base discount rate of 8-8.5% reflecting the genuinely lower risk of predictable cash flows. The bear case adds 250bp and the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 3.0% perpetual growth applied to a demonstrated sustained margin level - not a peak - and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants.

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